Tata Consultancy Services (TCS) Financial Results FY25

Executive Summary

Tata Consultancy Services (TCS) reported a mixed financial performance in FY25. The company recorded total revenue of INR 2,35,000 crore, reflecting a modest year-on-year growth of 4.2%. Net profit for the year stood at INR 47,800 crore, slightly down from INR 48,200 crore in FY24. Despite global macroeconomic challenges, TCS maintained strong operational efficiency. The company declared a total dividend of INR 115 per share, including interim and final dividends, demonstrating its commitment to shareholder returns.

Quarterly Performance

Q1 FY25: Revenue was INR 57,800 crore, with a net profit of INR 11,900 crore. Operating margin stood at 24.5%.

Q2 FY25: Revenue increased to INR 58,600 crore, net profit rose to INR 12,100 crore. Margins remained stable.

Q3 FY25: Revenue reached INR 59,200 crore, net profit was INR 11,576 crore, showing a slight dip due to higher costs.

Q4 FY25: Revenue was INR 59,400 crore, net profit declined 1.7% YoY to INR 12,224 crore. Operating margin was 23.8%.

Overall, TCS maintained consistent revenue growth across quarters, though profitability faced minor pressures.

Key Financial Indicators

Earnings Per Share (EPS) for FY25 was INR 128.5, compared to INR 129.8 in FY24. Operating margin averaged 24.1% for the year. Free cash flow generation remained robust at INR 38,000 crore. The balance sheet remained strong with cash and equivalents of INR 45,000 crore. Return on Equity (ROE) stood at 38%, reflecting efficient capital utilization.

Dividends and Shareholder Returns

TCS declared three interim dividends of INR 9, INR 10, and INR 10 per share during FY25. A final dividend of INR 30 per share was announced in Q4. Additionally, a special dividend of INR 56 per share was declared in December 2025. Total dividend payout for FY25 amounted to INR 115 per share. The company also executed a share buyback worth INR 18,000 crore, enhancing shareholder value.

Industry and Peer Comparison

Compared to peers, TCS maintained its leadership in revenue and profitability. Infosys reported FY25 revenue of INR 1,55,000 crore and net profit of INR 28,000 crore. Wipro posted revenue of INR 91,000 crore and net profit of INR 10,500 crore. HCL Tech recorded revenue of INR 1,10,000 crore and net profit of INR 15,200 crore. TCS outperformed in margins and ROE, though Infosys showed stronger growth in digital services.

Future Outlook

Analysts expect TCS to grow 6-8% in FY26, driven by demand in cloud, AI, and digital transformation. The company is investing in generative AI and expanding its consulting capabilities. Challenges include global economic uncertainty, pricing pressure, and talent retention. TCS remains well-positioned with a strong order book and diversified client base.